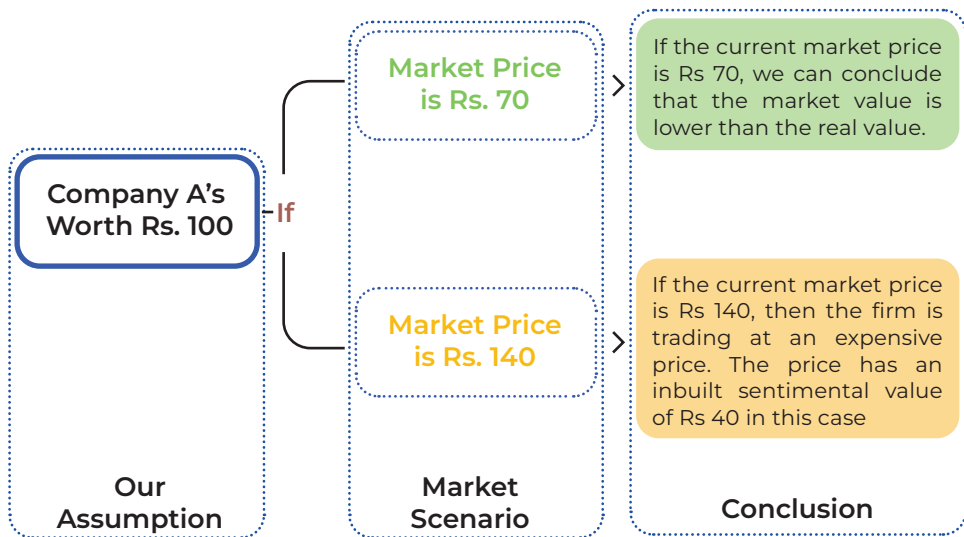


Absolute Valuation

The analyst uses a discounted cash flow (DCF) analysis to assess a company's financial worth to obtain an exact value or range. No comparisons are being done by the analyst. The analyst here understands the past performance of the company and builds assumptions, forecasts the future performance value for the company.



Risks

Relative Valuation

When Relative valuation, issued we might overlook reasons that explain why a company is genuinely low-priced.

- The company has a real risk we don't yet understand.
- It can be because the quality of earnings of the company is lower than its competitors.

If we miss out on such reasons, We may end up buying overvalued companies thinking that they are cheap.

Absolute Valuation

Hypothetically an analyst concluded that Company A's stock is worth Rs 100. However, this assessment can be wrong if they had predetermined a very optimistic and bullish outlook. If the assumptions are biased then the valuation can also be based and we may end up entering at the wrong price or may not get excellent results.